Equity Research

Price Target Change — October 30, 2026

**Machinery, Industrials & Environmental Services**

# KBR, Inc.

## Estimates Broadly Unchanged, Focus Firmly on Spin

## Our Call

*We make modest revisions to our 2026-28 estimates, reflecting (i) softer MTS sales (Science & Space), (ii) STS momentum (1.3x book-to-bill ex-Plaquemines) and (iii) STS bookings sufficient to offset the Plaquemines step-down.*

**Mission Technology Solutions sales were below our estimates amid lower NASA demand, balanced by higher margins of 11.5%.** Favorable timing of closeouts were a tailwind. 3Q MTS book-to-bill was 0.6x reported (0.8x excluding the NASA debooking). NASA's insourcing decision removed outer-year contract value from KBR's backlog. KBR sees potential additional NASA insourcing creating a larger 2027 headwind and flagged 1H27 as a tough compare.

**Sustainable Tech Solutions 3Q sales beat expectations**, with margins of 19.3% (-190 bps y/y), or 13.9% ex-LNG (+80 bps q/q), reflecting a lower Plaquemines JV contribution vs. the prior period. 3Q STS book-to-bill was 1.3x (excluding Plaquemins), with backlog reaching a $5.8 bn, up more than 50% y/y. Plaquemines contributed ~$115 mn through 3Q, with another $25-35 mn expected in 4Q, and that contribution steps down in 2027.

**The Middle East remains a key growth driver.** Project activity is strong amid a focus on energy transportation & security in the regional conflict. KBR received awards from ADNOC, Aramco (Marjan), SABIC, and Diriyah. KBR still expects $560–600 mn in adjusted operating cash flow for FY26, though continued Middle East collection delays could push $25–50 mn beyond year-end.

**On track to spin off MTS.** Operationally, the company completed the cut-over of key systems, including Trinzic's payroll.

**Valuation.** We raise our 12-month price target to $40 from $35 based on our target multiple of 7.5x as we approach the spin. Key focus next week will be long-term capital deployment and margin targets.

## Equal Weight
## Price Target: $40.00

| Notable Changes<br>$ (Dec) | Current | Prior | % Chg |
|---|---|---|---|
| Price Target | $40.00 | $35.00 | 14.3% ▲ |
| EPS 2026 | 4.10 | 4.02 | 2.1% ▲ |
| EPS 2027 | 3.83 | 3.96 | -3.2% ▼ |
| EBITDA (MM) 2026 | 1.02B | 1.01B | 1.4% ▲ |
| EBITDA (MM) 2027 | 941.0 | 954.0 | -1.4% ▼ |

| Ticker | KBR |
|---|---|
| **Upside/(Downside) to Target** | **3.4%** |
| **Price (10/30/2026)** | **$38.70** |
| 52 Week Range | $29.94 - 45.36 |
| Market Cap (MM) | $4,915 |
| Enterprise Value (MM) | $7,225 |
| Average Daily Value (MM) | $60 |
| Dividend Yield | 1.8% |

| $ (Dec)<br>EPS | Q1 | Q2 | Q3 | Q4 | FY |
|---|---|---|---|---|---|
| 2026E | 0.95 A | 0.99 A | 1.15 A | 1.01 E | 4.10 E |
| Prior | NC | NC | 0.98 E | 1.09 E | 4.02 E |
| 2027E | 0.92 E | 1.01 E | 0.90 E | 0.99 E | 3.83 E |
| Prior | 0.97 E | NC | 0.94 E | 1.03 E | 3.96 E |

*EPS: Consensus EPS Estimate; Source: Visible Alpha*
*Source: Company Data, Wells Fargo Securities estimates, and Factset.*
*NA = Not Available, NC = No Change, NE = No Estimate*


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# Wells Fargo Express Takeaways

**KBR, Inc. (KBR) | Rating: Equal Weight | Price Target: $40.00**
**Analyst: Jerry Revich**

## Financials

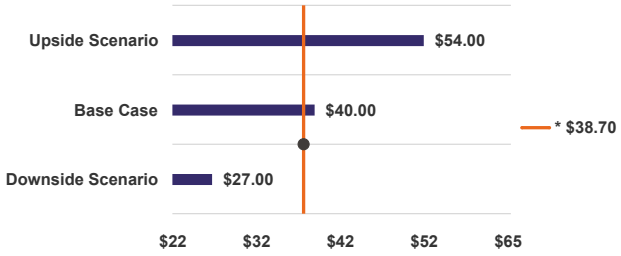
| FY (Dec)<br>$ | 2025A | 2026E | 2027E |
|---|---|---|---|
| **ESTIMATES** | | | |
| **EPS** | | | |
| Q1 | 0.92 A | 0.95 A | 0.92 E |
| Q2 | 0.92 A | 0.99 A | 1.01 E |
| Q3 | 0.91 A | 1.15 A | 0.90 E |
| Q4 | 0.87 A | 1.01 E | 0.99 E |
| AN | 3.62 A | 4.10 E | 3.83 E |
| **EBITDA (MM)** | 968.0 A | 1.02B E | 941.0 E |
| **Rev. (MM)** | 7.79B A | 8.03B E | 8.62B E |
| **FCF (MM)** | 573.0 A | 301.6 E | 470.6 E |
| **WELLS FARGO vs. CONSENSUS** | | | |
| Consensus Estimate | 3.88 A | 4.12 E | 3.93 E |
| Difference from Consensus | | (0.5)% | (2.6)% |
| **VALUATION** | | | |
| P/E | 10.7x | 9.4x | 10.1x |
| EV/EBITDA | 7.5x | 7.0x | 7.7x |
| EV/Revenue | 0.9x | 0.9x | 0.8x |
| EV/FCF | 12.6x | 24.0x | 15.4x |
| FCF Yield | 11.7% | 6.1% | 9.6% |

*EPS: Consensus EPS Estimate; Source: Visible Alpha*
*Consensus Estimate: EPS: Source: Visible Alpha*
*Source: Company Data, Wells Fargo Securities estimates, and Factset.*
*NA = Not Available, NE = No Estimate*

## Investment Thesis

Our Equal Weight rating on KBR is predicated on (1) LNG project execution, but visibility gaps around LNG bridge, (2) tempered spending for NASA, (3) spin-off execution, and (4) fx/policy risk.

## Risk vs. Reward – Upside/Downside Price Target Scenarios




**As of 10/30/26*
*Source: Wells Fargo Securities, LLC estimates and Factset.*

## Base Case | $40.00

Our $40 12-month price target is based on 7.5x our 2027E EBITDA, broadly in line with its historical average. We see visibility gaps on LNG projects and tempered key customer spend as key drivers to the recent de-rating.

## Upside Scenario | $54.00

Upside to our PT may be driven by (1) gov't shutdown resolution leading to Lake Charles LNG project decision, (2) increased US civil space spending, (3) large fixed-projects execution, and (4) faster adoption in Hydro-PRT deployments. In this case, our upside scenario price target of $54 is predicated on 9.5x our 2026E EBITDA.

## Downside Scenario | $27.00

Downside to our PT may be driven by (1) gov't shutdown leading to Lake Charles LNG project decision delays, (2) lower US civil space spending, (3) large fixed-projects risks, and (4) slower adoption in Hydro-PRT deployments. In this case, our downside scenario price target of $27 is predicated on 6x our 2026E EBITDA.

## Upcoming Catalysts

- U.S. government shutdown update.
- MTS spin-off execution.
- Quarterly earnings.

## Company Description

KBR, Inc. is a global provider of science, technology, and engineering solutions to governments and commercial clients. Headquartered in Houston, Texas, KBR delivers mission-critical services in defense, intelligence, aerospace, and energy sectors, operating in over 29 countries with a work force of approximately 38,000.

# Financials

## Exhibit 1 - KBR Income Statement

| KBR Income Statement | $3.17 | $3.62 | $0.95 | $0.99 | $1.15 | $1.01 | $4.10 | $0.92 | $1.01 | $0.90 | $0.99 | $3.83 | $3.70 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| ($ in millions except per share amounts) | 2024 | 2025 | 1Q26 | 2Q26 | 3Q26 | 4Q26E | 2026E | 1Q27E | 2Q27E | 3Q27E | 4Q27E | 2027E | 2028E |
| **Total sales** | **$7,742** | **$7,786** | **$1,923** | **$1,984** | **$2,028** | **$2,099** | **$8,034** | **$2,116** | **$2,106** | **$2,157** | **$2,236** | **$8,616** | **$8,690** |
| % y/y | 11% | 1% | (5%) | 2% | 5% | 11% | 3% | 10% | 6% | 6% | 7% | 7% | 1% |
| Cost of Sales | ($6,519) | ($6,426) | ($1,607) | ($1,639) | ($1,681) | ($1,744) | ($6,671) | ($1,779) | ($1,759) | ($1,827) | ($1,894) | ($7,260) | ($7,381) |
| **Gross Profit** | **$1,223** | **$1,360** | **$316** | **$345** | **$347** | **$355** | **$1,363** | **$337** | **$347** | **$329** | **$343** | **$1,357** | **$1,309** |
| % margin | 15.8% | 17.5% | 16.4% | 17.4% | 17.1% | 16.9% | 17.0% | 15.9% | 16.5% | 15.3% | 15.3% | 15.7% | 15.1% |
| Incremental margin y/y | 17.2% | 311.4% | 27.4% | 12.5% | 7.2% | 8.4% | 1.2% | 10.9% | 1.6% | (13.6%) | (8.7%) | (1.1%) | (63.8%) |
| **SG&A** | **($528)** | **($581)** | **($112)** | **($142)** | **($146)** | **($146)** | **($547)** | **($146)** | **($143)** | **($148)** | **($148)** | **($586)** | **($594)** |
| % sales | 7% | 7% | 6% | 7% | 7% | 7% | 6.8% | 7% | 7% | 7% | 7% | 7% | 7% |
| % y/y | 8% | 10% | (20%) | (3%) | (2%) | 0% | (6%) | 31% | 1% | 1% | 1% | 7% | 2% |
| **Operating Income** | **$695** | **$779** | **$204** | **$203** | **$201** | **$209** | **$816** | **$191** | **$204** | **$182** | **$195** | **$771** | **$715** |
| % margin | 9.0% | 10.0% | 10.6% | 10.2% | 9.9% | 9.9% | 10.2% | 9.0% | 9.7% | 8.4% | 8.7% | 8.9% | 8.2% |
| Other Income (Expense) and amortization/other income addbacks | $31 | $6 | 0 | ($2) | 0 | ($1) | ($3) | 0 | ($2) | 0 | ($1) | ($3) | ($3) |
| Interest | | | | | | | | | | | | | |
| Interest Income | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| Interest Expense | ($144) | ($158) | ($37) | ($35) | ($36) | ($36) | ($144) | ($35) | ($32) | ($32) | ($31) | ($130) | ($118) |
| Net Interest Expense | ($144) | ($158) | ($37) | ($35) | ($36) | ($36) | ($144) | ($35) | ($32) | ($32) | ($31) | ($130) | ($118) |
| Profit before taxes | $582 | $627 | $167 | $166 | $165 | $172 | $669 | $156 | $169 | $150 | $163 | $638 | $594 |
| Income Taxes | ($153) | ($156) | ($46) | ($38) | ($18) | ($45) | ($146) | ($40) | ($44) | ($39) | ($42) | ($166) | ($154) |
| Tax Rate | 26.3% | 24.9% | 27.4% | 22.9% | 10.9% | 26.0% | 21.9% | 26.0% | 26.0% | 26.0% | 26.0% | 26.0% | 26.0% |
| Minority Interest | ($6) | ($4) | 0 | ($2) | ($2) | 0 | ($4) | 0 | 0 | 0 | 0 | 0 | 0 |
| **Net Income - Recurring** | **$423.4** | **$467.3** | **$121.2** | **$126.0** | **$144.6** | **$127.2** | **$519.0** | **$115.2** | **$125.2** | **$110.9** | **$120.6** | **$471.9** | **$439.4** |
| Discontinued operations | 0 | ($33) | ($1) | $1 | $3 | | $3 | | | | | 0 | 0 |
| Extraordinary Items | ($73) | ($26) | ($18) | ($32) | ($8) | ($7) | ($65) | ($7) | ($7) | ($7) | ($7) | ($29) | ($29) |
| Total non-recurring | ($73) | ($59) | ($19) | ($31) | ($5) | ($7) | ($62) | ($7) | ($7) | ($7) | ($7) | ($29) | ($29) |
| **Net Income Post Exceptionals (Reported)** | **$350.0** | **$408.2** | **$102.0** | **$95.3** | **$140.0** | **$119.9** | **$457.2** | **$108.0** | **$117.9** | **$103.7** | **$113.3** | **$442.9** | **$410.4** |
| EPS - Basic - Recurring | 3.17 | 3.62 | 0.95 | 0.99 | 1.15 | 1.01 | 4.10 | 0.92 | 1.01 | 0.90 | 0.99 | 3.83 | 3.70 |
| **EPS - Diluted - Recurring** | **$3.17** | **$3.62** | **$0.95** | **$0.99** | **$1.15** | **$1.01** | **$4.10** | **$0.92** | **$1.01** | **$0.90** | **$0.99** | **$3.83** | **$3.70** |
| Post Tax Exceptionals (per share) | ($0.55) | ($0.46) | ($0.15) | ($0.24) | ($0.04) | ($0.06) | ($0.49) | ($0.06) | ($0.06) | ($0.06) | ($0.06) | ($0.24) | ($0.24) |
| EPS - Basic - Post Exceptionals (Reported) | 2.62 | 3.16 | 0.80 | 0.75 | 1.11 | 0.95 | 3.61 | 0.86 | 0.95 | 0.84 | 0.93 | 3.59 | 3.45 |
| **EPS - Diluted - Post Exceptionals (Reported)** | **$2.62** | **$3.16** | **$0.80** | **$0.75** | **$1.11** | **$0.95** | **$3.61** | **$0.86** | **$0.95** | **$0.84** | **$0.93** | **$3.59** | **$3.45** |
| **EBITDA** | **$845** | **$944** | **$245** | **$243** | **$242** | **$248** | **$977** | **$233** | **$247** | **$226** | **$235** | **$941** | **$890** |
| **EBITDA management definition** | **$870** | **$968** | **$251** | **$258** | **$268** | **$248** | **$1,025** | **$233** | **$247** | **$226** | **$235** | **$941** | **$890** |
| **% margin** | **11.2%** | **12.1%** | **12.7%** | **12.2%** | **11.9%** | **11.8%** | **12.2%** | **11.0%** | **11.7%** | **10.5%** | **10.5%** | **10.9%** | **10.2%** |

Source: Company data, Wells Fargo Securities, LLC estimates

## Investment Thesis, Valuation and Risks

### KBR, Inc. (KBR)

**Investment Thesis**

Our Equal Weight rating on KBR is predicated on (1) LNG project execution, but visibility gaps around LNG bridge, (2) tempered spending for NASA, (3) spin-off execution, and (4) fx/policy risk.

**Target Price Valuation for KBR**

Our $40 12-month price target is based on 7.5x our 2027E EBITDA, broadly in line with its historical average. We see visibility gaps on LNG projects and tempered key customer spend as key drivers to the recent de-rating.

**Risks to Our Price Target and Rating for KBR**

**Downside risks:** Delays in Lake Charles LNG FID or financing; unfavorable outcomes in US civil space appropriations; execution risk and claim exposure on large fixed-price projects; slower-than-expected adoption in Hydro-PRT deployments; & FX/policy risks (UK & AUS).

**Upside risks:** Favorable Lake Charles FID or financing; improved US civil space appropriations; execution of large fixed projects; increased adoption in Hydro-PRT deployments; & positive FX/policy environment (UK & AUS).

## Companies Mentioned in Report

| Company Name | Ticker | Last Price (10/30/26) |
|---|---|---|
| KBR, Inc. | KBR | $38.70 |

*Source: Wells Fargo Securities LLC Estimates, FactSet*

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